

Elvis, Frankenstein and
Andy Warhol
Robert R. Prechter

Stock market forecasting is an art. But can art also be used to forecast the stock market?

In fact, yes. For the trend in stock prices is a reflection of popular moods within the investment community and, by extension, within society at large. Right now, for example, certain trends in popular culture point to higher share prices. They indicate, indeed, that we may be on a verge of a full-fledged speculative surge.

*Stock market forecasting is an art. But can art
also be used to forecast the stock market?*

Trends in music, movies, fashion, literature, television, popular philosophy, sports, dance, automobile style, mores, sexual identity, family life, campus activities, politics and poetry, all reflect the prevailing mood of the society. But not all in the same way. Television and movies, for example, tend to reveal broader, more gradual change in sentiment. By contrast, shorter swings in the way people feel can be discerned in fashion, since clothes styles can be adopted or dis-